

But this didn't help Harvard solve its cash crunch. The worst failing of Harvard was in basic asset–liability management. Even without using the asset allocation models with illiquidity risk or the advice given by Gilbert and Hrdlicka, Harvard should have recognized that its assets did not match its liabilities. In technical terms the duration of its liabilities was shorter than the duration of its assets.

Harvard faced five choices:

1. Liquidate a portion of the endowment.

But a lot of the endowment is illiquid and cannot be sold.

2. Cut expenses.

Universities are like government bureaucracies: big, bloated, and inefficient. You can hardly fire anyone. So there is a limit to how much can be cut.

3. Increase donations.

It's embarrassing to ask for funds to replace those lost as a result of mismanagement.

4. Increase other revenue.

Harvard could rescind its need-blind financial-aid policy. But it turns out this doesn't save much money.

5. Borrow.

Harvard did (5). It issued \$2.5 billion in bonds and more than doubled its leverage ratio between 2008 and 2009. It did try to cut expenses and deferred its Allston campus expansion. Was the endowment a rainy day fund Joseph could use to save his family and all of Egypt, as suggested by Dershowitz? No. Harvard actually *reduced* its payout ratio in 2009, preferring to keep as much of the endowment intact as it could.⁴⁹ Maybe Hansmann is right in suggesting that prestige maximization is the driving motivation in endowment management. After all, everyone likes to be well-endowed.

⁴⁹ Brown et al. (2013) show that most universities do the same thing: they hoard endowments when bad times come.